14. INCOME TAXES

The Company is subject to income taxes by entity on income from the tax jurisdiction in which each entity is domiciled.

U.S. China Mining Group, Inc., the US parent company was incorporated in Nevada and has net operating losses ("NOL") for income tax purposes. The US parent company has NOL carry forwards for income taxes of approximately $4,154,000 at December 31, 2010, which may be available to reduce future years' taxable income as NOLs can be carried forward up to 20 years from the year the loss is incurred. Management believes the realization of the benefits from these losses is uncertain due to the Company's limited operating history and continuing losses. Accordingly, a 100% deferred tax asset valuation allowance was provided for the US parent company.

Tong Gong is a Sino-foreign joint venture enterprise formed in the PRC subject to PRC income tax. According to the PRC government local tax bureau, Tong Gong was entitled to full income tax relief for two years commencing January 2005 and 15% for three years from 2007 to 2009. Effective January 1, 2008, the PRC government implemented new income tax rates with a maximum rate of 25%, under which Tong Gong is subject to a 12.5% income tax rate for 2008 and 2009, and 25% thereafter.

Effective February 13, 2009, Xing An became a foreign invested enterprise as a result of the reverse acquisition by the Company. Xing An is subject to tax at a statutory rate of 25% on income reported in the statutory financial statements after appropriate tax adjustments.

Consolidated foreign pretax earnings approximated $20,806,000 for the year ended December 31, 2010. Pretax earnings of a foreign subsidiary are subject to U.S. taxation when effectively repatriated. The Company provides income taxes on the undistributed earnings of non-U.S. subsidiaries except to the extent that such earnings are indefinitely invested outside the United States. At December 31, 2010, approximately $45,351,000 of accumulated undistributed earnings of non-U.S. subsidiaries was indefinitely invested. At the existing U.S. federal income tax rate, additional taxes of approximately $5,973,000 would have to be provided if such earnings were remitted currently.

The following table reconciles the U.S. statutory rates to the Company's effective tax rate for the years ended December 31, 2010 and 2009:

	2010	**2009**
US statutory rates	34.0%	34.0%
Tax rate difference	(9.9)%	(9.3)%
Permanent difference on deferred tax	0.5 %	(0.2)%
Change tax rate on deferred tax	1.2%	-%
Effect of tax holiday	-%	(4.4)%
Valuation allowance on US NOL	3.4%	1.0%
Tax per financial statements	29.2%	21.1%

The provisions for income tax for the years ended December 31, 2010 and 2009 consisted of the following:

	2010	2009
Income tax expense - current	$ 5,252,996	$ 7,087,798
Income tax expense (benefit) - deferred	263,726	(387,623)
Total income tax expenses	$ 5,516,722	$ 6,700,175

13. DEFERRED TAX ASSET, NET

Deferred tax asset is the differences between the tax and book depreciation of mining shafts using unit-of-production method, amortization of mining rights for reserves under SEC Industry Guide 7, and amortization of asset retirement cost.

Deferred tax liability consisted of tax deductible safety and maintenance expenses for coal produced to be incurred in the future. It is deductible for tax purposes at a predetermined rate per ton of coal produced per year. For financial reporting purposes, this was

recorded as an appropriation of retained earnings. As defined under USA GAAP, a liability for safety and maintenance expenses does not exist at the balance sheet date because there is no present obligation to transfer assets or to provide services as a result of any past transaction (see Note 16 – Statutory Reserves).

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Deferred tax asset (liability) consisted of the following at December 31, 2010 and 2009:

	2010	2009
Deferred tax asset for amortization of mining rights, amortization of asset retirement cost and depreciation of assets using unit-of-production method	$ 2,205,616	$ 2,017,029
Deferred tax liability for statutory reserves for Mine safety and maintenance expenses	(2,021,184)	(1,576,690)
Net deferred tax asset	$ 184,432	$ 440,339